
POLAND 2013

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1. Overview of the tax-benefit system

Unemployed persons receive benefits in a fixed amount for a period from 6 to 12 months. In cases provided for in the law (and in special cases after the loss of the unemployment benefit) they may receive social assistance benefits (income related) - facultative temporary benefits (5-6 months). Besides, social assistance plays a role of the “last resort benefit”. Housing allowances function outside the social assistance system and require fulfilment of income criterion. The income criterion also applies in the case of family and maternity benefits.

The tax system allows for joint taxation of spouses, and in the case of single parents the incomes that are taxable in accordance with the progressive tax scale can benefit from calculating the income on the preferential basis, i.e. assess the tax at the double amount of the tax calculated on half of the income. Incomes (revenues) on which lump tax is paid in and the incomes achieved by the adult child are being excluded from the sum total of those incomes.

As concerns social benefits, only pension benefits (retirement and disability pensions) and unemployment benefits (as well as pre-retirement allowances and bridging benefits) are taxable.

1.1. Average worker wage (AW)

The 2013 AW level is PLN 41 442 (Secretariat Estimate).¹

2. Unemployment insurance

2.1 Conditions for receipt

The right to unemployment benefit is granted to a registered unemployed person who (among others):

- is able and ready to take up employment on a full time basis, according to the working time rate applied in a given occupation or service,
- has reached the age of 18 years and has not reached the retirement age,
- who do not owe or possess of an agricultural estate, with arable land exceeding the area of 2 conversion hectares,
- do not receive monthly income in the amount exceeding 50 percent of the minimum remuneration (excluding income from interest rates or income from savings on bank accounts),
- is not a recipient of permanent allowance or permanent compensatory allowance, guaranteed temporary allowance, training benefit, nursing benefit, supplement to family benefit on the basis of the social assistance legislation.

2.1.1 Employment conditions

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office, if there are no proposals of suitable employment, no referral to subsidized job, apprenticeship, on-the-job-training. Pursuant to the Act of 20 April 2004 on employment promotion and labour market institutions (Dz. U. of 2008.69.415), as a rule, unemployment benefit is granted for each calendar day after:

- 1) 7 days following the registration date, if
 - a) there is no proper offer of employment, internship, vocational preparation for adults, training, intervention works or public works, and
 - b) within 18 months before the day of registration, jointly for the period of at least 365 days:
 - they were employed and received remuneration in the amount of at least the minimum remuneration for work for which contributions are paid to the Labour Fund,
 - they worked under the contract for home based work, and obtained income in the amount of at least the minimum remuneration for work,
 - they provided services under an agency contract or commission contract or other service contract,

¹ The average wage in national economy in the 2011 was PLN 40.794,24 (Central Statistical Office, (www.gus.gov.pl). AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2007-2008, OECD, 2008, part 4, sections 2 and 3.

- they paid social insurance contributions in respect of the non-agricultural activity or cooperation, while the contribution assessment base for social insurance and the Labour Fund amounted to at least the minimum remuneration for work,
 - they performed work during the pre-trial detention or when serving the custodial sentence, while the contribution assessment base for social insurance and the Labour Fund amounted to at least half of the minimum remuneration for work,
 - they performed work in agricultural production cooperative, agricultural circles cooperative or agricultural services cooperatives, as a member of the cooperative, while the contribution assessment base for social insurance and the Labour Fund amounted to at least the minimum remuneration for work,
 - they paid contribution to the Labour Fund in connection with employment or other gainful work abroad for a foreign employer in the EU/EEA countries and countries that are not parties to the EEA Agreement, which have concluded agreements with the European Community and its Member States, amounting to 9.75% of average salary for each month of employment,
 - they were employed abroad for at least 365 days in the period of 18 months before registration in the Poviát Labour Office, and came to the Republic of Poland as a repatriate,
 - they were employed, performed duty or other gainful employment, received remuneration or obtained income in respect of which contributions are to be paid for the Labour Fund.
- 2) 90 days following the registration date if within 6 months before the registration in the labour office the unemployed person has terminated (official) employment relationship upon notice or upon mutual agreement of the parties or has registered at the time of cessation to pursue business activity
- 3) 180 days if within 6 months before the registration in the labour office the unemployed has caused his or her employment (official) relationship to be terminated without prior notice
- 4) the period for which the unemployed has received an equivalent, a severance pay or compensation.

The right to unemployment benefit shall not be granted if (among others):

- the unemployed refused without a justified reason a proposal of employment, training, on-the-job-training or subsidized work,
- within the period of 6 months preceding the registration, the employment contract has been terminated with notice or on a basis of an agreement with the employer unless the agreement of both parties had been caused by: bankruptcy or liquidation of the employer or by employment cut-offs for employer-related reasons or by the change of the place of residence,
- within the period of 6 months preceding the registration the employment contract has been terminated without the notice for the employee reasons.

There are no job-search conditions for becoming and remaining entitled to unemployment benefits apart from:

- being registered as unemployed,
- obligation to report to the district (*powiat*) labour office at designated dates to confirm readiness to take up employment and to receive information on employment and training opportunities,
- accepting job offers proposed by the district (*powiat*) labour office.

The entitlement to the unemployment benefit is deprived when the entitled person:

- has not reported to the district (*powiat*) labour office at a designated date and has not informed within 7 days on a justified reason for his/her absence. Deprivation of the status of an unemployed

shall be valid from the day of not reporting to the district labour office, for the period which depends on the number of his/her absences (120 days in case of first absence, 180 days in case of second one and 270 days in case of the third or more),

- has refused the job offer or ALMP offer without justified reason or to undergo medical or psychological examination assessing the ability to work; deprivation of the status of an unemployed shall be valid for 120 days as of the date of refusal in case of first refusal, 180 in case of second one, and 270 in case of third or another one;
- has applied for deprivation of the status of unemployment.

There are possibilities to re-apply for benefits once they have expired, provided that the conditions concerning the benefit eligibility period (defined above) are fulfilled. According to district (*powiat*) labour office experience it is common that the unemployed re-apply for benefits as soon as they acquire the right to do it, but unfortunately there are no detailed data describing this process (there are data concerning the persons who were registered as unemployed for at least second time from 1990 - in 2012 78.28 % of inflow to RU were people registered for the second or more time. Among them 24.95% were entitled to UB, compared to 23.62% of unemployed registered for the first time)..

2.1.2 *Contribution conditions*

Contribution to the Labour Fund is paid by the employer. The contribution equals 2.45 percent of the basis for the social security contributions.

2.2 Calculation of benefit amount

2.2.1 *Calculation of gross benefit*

In 2008 unemployment benefits were subject to indexation by consumer prices growth index in previous year. The monthly level of unemployment benefit in recent years amounted to:

- From 1 September 2001 to 31 August 2002 – PLN 476.70.
- From 1 September 2002 to 31 August 2003 – PLN 498.20.
- From 1 September 2003 to 28 February 2004 – PLN 503.20.
- From 1 March 2004 to 31 May 2005 – PLN 504.20.
- From 1 June 2005 to 31 May 2006 – PLN 521.90.
- From 1 June 2006 to 31 May 2007 – PLN 532.90.
- From 1 June 2007 to 31 May 2008 – PLN 538.30.
- From 1 June 2008 to 31 May 2009 – PLN 551.80.
- From 1 June 2009 to 1 January 2010 – 575.00.
- From 1 January 2010 to 31 May 2010 – 717 PLN in first three months of UB collection, 563 PLN - afterwards.
- From 1 June 2010 to 31 May 2011 – 742,10 PLN in first three months of UB collection, 582,70 PLN - afterwards.
- From 1 June 2011 – 761,40 PLN in first three months of UB collection, 597,90 PLN – afterwards.
- From June 2012 – 794,20 PLN in first three months of UB collection, 623, 60 PLN afterwards.

Additionally the benefits are adjusted according to the length of the unemployment benefit eligibility period:

- persons having less than 5 years of unemployment benefit eligibility period receive 80 per cent of benefit,

- persons having from 5 to 20 years of unemployment benefit eligibility period receive 100 per cent of benefit,
- persons having more than 20 years of unemployment benefit eligibility period receive 120 per cent of benefit.

2.2.2 *Income and earnings disregards*

The unemployed person cannot receive monthly income in the amount exceeding the 50 percent of the minimum gross remuneration (excluding income from interest rates or income from savings on bank accounts). From the 1st of January 2012 the minimum gross remuneration equalled to PLN 1500 per month (in 2010 the minimum pay gross is PLN 1317.00 per month). Since the 1st of January 2013 it amounts to 1600 PLN per month.

2.3 *Tax treatment of benefit and interaction with other benefits*

Taxation rate is 18 per cent of gross benefit.

Yearly benefit = gross benefit – income tax – health insurance

Where:

income tax = (gross benefit * 18% - 556.02) – gross benefit * 7,75% - the income tax cannot be lower than 0, if the result of the deduction is negative number then it is assumed that income tax equals 0

health insurance = gross benefit * 9%

In the case of unemployed persons the taxable income and gross income (unemployment benefit) have the same value. The old-age pension insurance and disability pension insurance contributions are covered by the Public Employment Service.

Please see conventions described in point 10.1.

2.4 *Benefit duration*

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office. The period of receiving the benefit is as follows:

- 6 months – in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit did not exceed 150% of the national average unemployment rate.
- 12 months - in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit exceeded 150% of the national average unemployment rate or in case of the unemployed at the age 50 or more who have at least 20 years of unemployment benefit eligibility period, or in case of the unemployed who have at least one dependent child at the age of 15 years or less and the spouse of the unemployed person is also unemployed and forfeited the right to benefit because of expiry of a period of receiving benefit. (**note: for calculations, this is assumed to be the most general case**).

- From 2010 the unemployment benefit is paid at a higher rate for the first three months and after then decreases to an amount similar to that observed in previous years.

2.5 Treatment of particular groups

The Act on Employment Promotion and Labour Market Institutions defines seven groups of people at the special situation on the labour market (changes in force from 26th of October 2007)

- young persons (aged 25 or less),
- long term unemployed (the unemployed spell exceeds 12 months within last 2 years) or unemployed after finishing participation in a social contract or women who did not take up employment after giving birth to a child,
- persons aged over 50,
- low-skilled unemployed, without professional experience or upper-secondary education,
- lone parents with a children aged up to 18 years of age,
- unemployed who after imprisonment do not take up work,
- people with disabilities.

The unemployed who belong to these groups should receive either a job vacancy or other work possibility, an internship, on-the-job training, public work or subsidized work during the first 6 months of unemployment (or in case of long term unemployed – during the period of 6 months following the day of the termination of eligibility to unemployment benefit).

2.5.1 Young persons

Since 1st of January 2010 there are no specific measure targeted at young unemployed. They can participate in all ALMP offered by local labour office. However, in case of internship the duration of this measure may be longer than in case of other unemployed i.e. 12 months compared to 6 months. This rule also applies to unemployed up to 27 years of age within a year after graduation of tertiary education.

Young unemployed cannot be placed to public works however there is a possibility to direct them to a work, on a basis of regulations concerning public works, to perform work that is not connected with the qualifications they obtained during education. This work is a part-time work, i.e. may not exceed 50% of full time basis work and it lasts up to 6 month

Young unemployed receive scholarships due to participation in ALMP on a regular basis.

2.5.2 Older workers

As of 1 August 2004 the responsibility for pre-retirement benefits and pre-retirement allowances (also in case of granting and payment of these benefits) was transferred from local labour offices to the Social Insurance Institution². The pre-retirement allowance can be granted to a person who had lost his/her job, who was registered as unemployed for at least 6 months and was receiving the unemployment benefit (for at least 6 months) and who:

- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively who was employed for more than 6 months by the

² Act of Law of 30th of April 2004 on pre-retirement benefits (Journal of Laws No. 120 item 1252).

last employer and his employment contract was terminated due to liquidation of the employer or it's insolvency or;

- is at least 55 (women) or 60 (men) years old and has insurance record to receive an old-age pension of at least 30 or 35 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to difficulties of their employer;
- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively and who runs his own company and paid social security contributions without any break for at least 24 months before he/she declared bankruptcy;
- has lost the entitlement to disability pension (that was previously granted for more than 5 years) and within 30 days registered in local PES as unemployed and who was at least 55 (women) or 60 (men) years old at the day of lost the entitlement and has insurance record to receive an old-age pension of at least respectively 20 or 25 years;
- has insurance record to receive an old-age pension of at least respectively 35 or 40 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to difficulties of their employer;
- has insurance record to receive an old-age pension of at least respectively 34 or 39 years and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to liquidation of the employer or it's insolvency.

The pre-retirement allowance is granted if he/she meets all of the following requirements:

- is still registered as the unemployed person,
- within the period of receiving the unemployment benefit did not refuse without justified reason a proposal of suitable employment or other gainful work or subsidised jobs and public works,
- fills an application for the pre-retirement benefit within 30 days from the day of issue by the district labour office a document certifying the 6-month period of receiving the unemployment benefit.

As from 1 August 2004 the benefit amounts to PLN 670 and will be subject to indexation. The benefit together with additional income may not exceed a half of average monthly remuneration from the previous year proclaimed by the President of the Central Statistical Office, and additional income may not be higher than 70% of this remuneration. The pre-retirement allowance amounts to:

- PLN 670.00 – 1 August 2004 – 28 February 2006,
- PLN 711.54 – 1 March 2006 – 29 February 2008,
- PLN 757.79 – 1 March 2008 – 28 February 2009,
- PLN 804.02 – 1 March 2009 – 28 February 2010,
- PLN 841.17 – 1 March 2010 – 28 February 2011,
- PLN 867,25 – 1 March 2011 – 29 February 2012,
- PLN 938,25 – 1 March 2012 – 28 February 2013,
- PLN 975,78 – 1 March 2013 –

Unemployed people aged 50 years and more can participate also in all active measures offered by local labour office and then receive benefits linked to this measures (i.e. trainings, internships, apprenticeship or start education in a school for adults).

2.5.3 *Unskilled workers*

The unskilled workers are defined as persons with educational attainment ISCED 1, ISCED 2 or ISCED 3C long (general upper-secondary schools – licea ogólnokształcące).

The low-skilled unemployed (i.e. without certified qualifications to perform any occupation) who take up education in the upper-secondary school for adults or who take up evening or extramural tertiary studies are granted scholarship amounting to 100 percent of the unemployment benefit for 12 months (from the date of beginning of the education). The scholarship may be prolonged until graduation. Scholarships are means-tested (family income criterion within social assistance legislation). The loss of the status of unemployed or discontinuation of education means also the loss of the eligibility to the scholarship. If a person takes up work during the education and continues it, the payment of the scholarship continues in amount of 20 percent of the UB. Training organised by local labour office can take up to 6 months, and in cases justified by the training programme for a given occupation no longer than 12 months, but in the cases of persons without vocational qualifications, training can take up to 12 months, and in cases justified by the training programme for a given occupation no longer than 24 months.

Unskilled or low-skilled unemployed can participate also in other active labour market measures offered by local labour office and then receive benefits linked to this measures (i.e., apprenticeship for adults).

2.5.4 *Lone parents with children aged 18 years or less*

The act of employment promotion and labour market institutions does not concern intuitions responsible for childcare.

- **The costs of childcare (only in case of children aged 7 or less) when an unemployed takes up a work or is referred to vocational training or other training may be reimbursed. The reimbursement amounts up to 50 percent of the unemployment benefit, and is means-tested (family income criterion within social assistance legislation). It is paid for the period of 6 months.**

If the unemployed is referred to training or internship reimbursement can be obtained for the whole training period. Similarly the costs of care for other dependent members of the family may be reimbursed.

3. **Unemployment assistance**

None

4. Social assistance

4.1 Conditions for receipt

A. Benefits from social welfare system

General principles: to have insufficient means of living under income criteria (542 PLN single; 456 PLN family per capita) and to meet social criteria.

Income³ criteria per capita monthly (in PLN)	
From May 2004	
Single person family	461
At least two-persons Family	316
From October 2006	
Single person family	477
At least two-persons Family	351
From October 2012	
Single person family	542
At least two-persons Family	456

Social criteria:

Main criteria for permanent benefit: full inability to work because of age or disability,;

Main criteria for temporary benefit: long term illness, poverty, orphanage, homelessness, unemployment.

Other reasons for social benefit support are, family violence, need to protect motherhood and large families, inability to provide for the care of children or a household, especially in a large or incomplete families, difficulties in adjustment to life of youth raised in care and education centers, difficulties in integration of refugees, difficulties in adjusting to life upon the release from penal institutions, alcohol and drug addiction, natural ecological disaster, crisis situation.

Simultaneously the right to permanent or temporary allowance belongs only to specific kinds of beneficiaries. In other cases there is discretionary periodic assistance (cash). It concerns purpose benefits (e.g. for the coverage of costs of purchases of food, medicines and treatment, fuel, clothing, daily necessities, minor apartment and damage repairs or funeral costs).

B. Benefits from Social Insurance Institution – social pension

Social pension are paid by the Social Insurance Institution⁴ to adult person due to inability to work that occurred in childhood (before 18 years old) or during studies.

³ Net income

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

A. Benefits from social welfare system

The modelling assumes the person receives the “temporary benefits” as these are more appropriate for unemployed people.

Permanent benefits

Permanent benefits – the level stated in the Act on Social Assistance and the level= family income criterion per capita – family income per capita,

Maximum benefit: 529 PLN monthly, minimum benefit = 30 PLN

Temporary benefits

Temporary benefits – the final level depends on discretionary administrative decision, might be less than maximum:

Maximum benefit = family income criterion per capita – family income per capita, but not more than 456 PLN monthly, minimum benefit = 20 PLN

In 2012 the minimum amounts of the temporary benefit was as follows:

- for a person keeping a single household – 50% of the difference between the criterion of income of a person keeping a single household and the income of that person
- for a family – 50% of the difference between the criterion of income of the family and the actual income of that family.

B. Benefits from Social Insurance Institution – social pension

The amount of social pension equals to 84% of minimum pension was:

Between March 2008 and February 2009	PLN 534,48 per month
Between March 2009 and February 2010	PLN 567,08 per month
Between March 2010 and February 2011	PLN 593,28 per month
Between March 2011 and February 2012	PLN 611,67 per month
Between March 2012 and February 2013	PLN 671,31 per month
Since March 2013	PLN 698,17 per month

⁴ Since October 2004, social pension was excluded from social welfare system.

4.2.2 *Income and earnings disregards*

No disregards. Income test on net income.

4.3 ***Tax treatment of benefit***

Not taxable. Social pensions are subject to personal income tax and health care contributions.

4.4 ***Benefit duration***

It depends on kind of benefit and of person's social situation.

Permanent – unlimited (no time limit stated in administrative decision) , temporary – benefit duration fixed according to the beneficiary situation and after the case examination by the local social assistance centre.

4.5 ***Treatment of particular groups***

4.5.1 *Young persons*

None

4.5.2 *Older workers*

None

5. Housing benefits**5.1 Conditions for receipt**

Housing benefits are paid by local authorities to the low income households (the housing benefits are paid to the owners of the houses, flats and tenant.).) A single person must have gross income under 175 per cent of the minimum retirement pension and families must have gross income equal to less than 125 per cent of the minimum retirement pension per capita. If the income exceeds these limits and the housing benefit is higher than the surplus of the income criteria the benefit is paid (than the housing benefit equals the difference between the income surplus and the achievable housing benefit). Housing benefits are outside the social assistance system.

Income criteria (monthly, PLN)			
	June 2002 – February 2003	March 2003 – February 2004	March 2004 – December 2004
Single household (160% minimum pension)	852,70	884,20	900,13
Per capita for family (110% minimum pension)	586,20	607,89	618,84
	January 2005 – February 2006	March 2006 – February 2008	March 2008 – February 2009
Single household (175% minimum pension)	984,52	1045,60	1113,51
Per capita for family (125% minimum pension)	703,23	746,83	795,36

Income criteria (monthly, PLN)				
	March 2009 – February 2010	March 2010 – February 2011	March 2011 – February 2012	March 2012 – February 2013
Single household (175% minimum pension)	1181,43	1236,01	1274,31	1398,56
Per capita for family (125% minimum pension)	843,88	882,86	910,22	998,97

In 2010 the average housing benefit (for one flat) was equal to 171,12 PLN⁵. Since 01.01.2004 these benefits are in communes competence only.

5.2 Calculation of benefit amount**5.2.1 Calculation of gross benefit**

⁵ Data of the Polish Central Statistical Office

Benefit is paid based on the difference between what is considered a reasonable payment for a family and actual housing costs. Housing costs cannot exceed a maximum amount, calculated based on the size of the family and the size of the flat.

The reasonable payment for a house is based on the size of the house, as follows:

- 35 m² – one person
- 40 m² – two people
- 45 m² – three people
- 55 m² – four people
- 65 m² – five people
- 70 m² – six people
- each additional person – 5 m²

The area of the house cannot exceed these limits by more than 30%. To calculate the expected housing costs, calculate the cost per square meter of the house, and then multiply this cost per metre by the expected house size. As an example, a single person in a 36m² house paying 360 per month would have a cost per metre of PLN 10. PLN 10 times the expected house size (35m²) gives us an expected housing cost of PLN 350.

The household has to cover the housing expenses up to:

- 15% of household income – in case of single person households
- 12% of household income – 2 – 4 person households
- 10% of household income – 5 and more person households

Thus if in the above example the individual earns PLN 1000 they would be expected to pay 15% of 1000, or PLN 150. The housing benefit would thus be the expected housing cost (PLN 350) minus their expected contribution (PLN 150), or PLN 200.

5.2.2 *Income and earnings disregards*

No disregards

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

None.

6. Family benefits

The system of family benefits is regulated in the Act on Family Benefits of 28 November 2003 (Polish Journal of Laws of 2006, No. 139, item 992, as amended). Act sets out income criteria which entitles to receive family benefits and caring benefits. Every 3 years there is a verification of the amounts of family benefits and income criteria. The recently verification, which raises criteria and amount of family allowance (verification wasn't related to other family benefits) took place on 1 November 2012.

6.1 Conditions for receipt

The claimant must have a dependent child aged under 18, or under 21 if still in education, or 24 if disabled and still in education.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family benefits – means tested:

Since 1 November 2012:

- PLN 77 monthly for a child until the child will reach 5 years of age,
- PLN 106 monthly for a child in the age of 5 up to 18 years,
- PLN 115 monthly for a child in the age of 18 up to 24 years.

Within family benefits there are following supplementary benefits available:

- 1) Birth supplement – PLN 1000 per child, one-off payment since 01.01.2006 (till 31.12.2005 PLN 500).
- 2) Child care supplement in the time of parental leave – PLN 400 – per month (for max 24 months).
- 3) Supplementary allowance for single parent which are no longer entitled to unemployment benefits – PLN 400 – per month only for these, who received the right before 1.09.2005 (paid max 3 years for children aged up to 7).⁶
- 4) Supplementary allowance for single parents – PLN 170 – per child per month, to a maximum of PLN 340 per month. Lone parents with disabled children can receive PLN 250 per disabled child per month.⁷
- 5) Supplementary allowance on education and rehabilitation of disabled children – PLN 60 per month per child aged up to 5 and PLN 80 – per child aged 6-24.
- 6) Supplementary allowance for raising child in large family (3 children and more) – for third and next child – 80PLN per child per month.
- 7) Supplementary allowance at beginning of the school – PLN 100 - one-off payment per each grade
- 8) Supplementary allowance on children that are taking up education in schools outside the area of living – PLN 90 – per child per month (if child lives in boarding-school), or 50 PLN – per child per month (if child needs to travel to school). The allowance is available for 10 months of school year from September to June

⁶ Since September 1st 2005 the benefit is no more permitted.

⁷ It is not allowed to profit from both benefits described in the no 3&4 at the same time.

Within family benefits there is following supplementary benefit available that is not means tested:

- Possibility for extra birth supplement paying by the commune (gmina).

Since the 1st of January 2013 single payment birth grant is granted if the average monthly net income per capita (after deducting the social insurance contribution, income tax and general health insurance contribution) does not exceed 1922 PLN.

Single parents – benefits from the maintenance fund

- Benefits from the maintenance fund⁸ is granted to a child or single parents, in case the family net income per capita does not exceed PLN 725 (since October 2008) (is granted to a child until 18 years of age or 24 if is still studying at school or college/university. The benefit equals an amount of alimony awarded (by court) but it can't exceed PLN 500 per month. While the proper authorities are engaged to recover the duties from the parent which is obligated to pay the alimony as to the court decision but does not meet this requirement.
- It is not allowed to combine the supplementary allowance for single parents and the benefits from maintenance fund. The first one is dedicated to single parents if the second of the parents is unknown, is dead or the maintenance are not been ordered by the court.

Attendance benefits – for families with disabled children:

- 1) Care allowance - 153 PLN per month, for a disabled child or a person older than 16, who is significantly or moderately disabled, if the disability has originated before completion of 21 years of age. It shall be also granted to a person older than 75 – regardless of health condition, unless the person has been granted the nursing supplement by ZUS.
- 2) Care benefit - 520 PLN per month (620 PLN per month from 1th of July 2013), not means tested, for parent or actual guardians or legal guardians of a child or a person who is burdened with a maintenance obligation under the provisions of the Act of 25 February 1964 - Polish Family and Guardianship Code (Dz. U. No 9, item 59, as amended) (i.e. relatives in a direct line and siblings) and resigns from employment due to taking care of a disabled child with a high or medium degree of disability, if the disability was 18 years of age or during school or college, but no later than the completion of 25 years of age.
- 3) Supplement to care benefit - 100 PLN per month, is granted to a person entitled to a nursing benefits from 1th of January 2013 to 30st of June 2013.

Special attendance allowance – 520 PLN per month, is granted to person, who is according to the provisions of the Act of 25 February 1964 - Family and Guardianship Code (Journal of Laws of 2012, item 788) obliged to pay maintenance and resigns from employment or other gainful employment in due to taking care of a disabled family member with a high or medium degree of disability who needs a permanent or long-term care or assistance of another person in connection with a significantly reduced ability to live independently and need for continuing participation on every day the child's guardian in its treatment, rehabilitation and education. The right to this benefit does depend on income criterion - if average monthly income after-tax (after subtracting the social security contribution, income tax and general health insurance contribution) does not exceed PLN 623.

⁸ In the case if the one of the child parents does not pay the maintenance.

6.2.2 *Income and earnings disregards*

Family allowance and supplementary benefits are granted for a period of 12 months (1.11 – 31.10), thus the right to benefit is tested once a year. From 1 May 2004 till 31 August 2005 – net income criteria per capita – PLN 504 (average monthly family net income per capita in 2002); from 1 September 2005 till 31 August 2006 – PLN 504 (net income per capita in 2004), in both periods in the case of families with disabled children – PLN 583; from 1 November 2012 - 539 PLN or 623 PLN in the case of families with disabled children.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

6.4 *Treatment of particular groups*

No special rules.

7. Childcare for pre-school children

From 4th of April 2011 Act on taking care of children under 3 changed the definition of nursery (it is no longer a healthcare institution) and established new forms of childcare – children’s clubs, child minders and nannies. Nurseries and children’s clubs can be established by: commune (gmina), as well as non-public entities, including private persons. A daily carer is a person employed by a commune (gmina), who takes care of not more than five children. The act expects a possibility to finance some part of costs of hiring a nanny - state budget pays the obligatory social insurance contributions to the amount of a minimum wage.

Nurseries are for taking care of children under 3 years old, while kindergartens for children between 3 and 6 years old. Attending kindergarten is obligatory for 5 and 6-year-old children. Compulsory schooling generally starts at age of 7. Starting from September 1st 2014 schooling for six-year will become compulsory. From 2009 to 2013 there is a transition period in which and parents can decide whether they want their children to start compulsory schooling at 6 or 7 age years old.

Fees for public childcare institutions are established by local government and in non-public institutions by itself. Local governments generally cover the cost of 5 hours of childcare a day (without board) in public nursery schools. Parents pay for additional hours and board. In non-public nurseries and nursery schools childcare and board is fully paid by parents.

The amendment to the School Education Act of June 2013 introduced the limit of 1 PLN (Polish Zloty) for the fee paid by parents for every hour of the child attendance beyond 5 compulsory hours (free). The local governments receive earmarked grants from the state budget to cover the difference between the real costs of those educational services and the amount paid by parents.

Data on childcare in 2009 (as of 31 December 2009):

Children staying in nurseries per 1000 children up to age 3:

2009 – 25,8 children

Source: Statistical Yearbook of the Republic of Poland 2011, Central Statistical Office

2010 – 26,3 children

Source: Statistical Yearbook of the Republic of Poland 2012, Central Statistical Office

2011 – 33,2 children (children staying in nurseries, nursery wards, kids clubs, child minders)

Source: Health and health care in 2011, Central Statistical Office

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	Children staying in facilities for children up to the age 3 (as of 31 XII 2011)				
	total	At age of			
		0	1	2	3
Total	40 978	2 650	13 974	20 840	3 237
Public	34 116	2 104	11 812	17 770	2 372
Non-public	6 862	546	2 162	3 070	865

Source: *Health and health care in 2011*, p. 278., Central Statistical Office

Children attending pre-primary education establishments per 1000 children										
Age:	2000/01	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12
3-6	500	523	537	556	584	594	631	673	699	734
3-5	327	357	382	410	446	473	527	597	646	720
6	972	977	981	976	974	949	945	912	867	778

„Concise statistical yearbook of Poland 2007” p. 251, „Concise statistical yearbook of Poland 2008”, p. 249, „Concise statistical yearbook of Poland 2009”, p. 248, „Concise statistical yearbook of Poland 2010”, p. 254, „Concise statistical yearbook of Poland 2012”, p. 258.

Children attending nursery schools per 1000 children										
Age:	2000/01	2002/03	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11
3-6	388	394	404	416	433	458	479	505	527	538
6	595	577	577	566	555	552	561	542	514	482

“Statistical yearbook of the Republic of Poland 2006, 2007, 2008, 2009, 2010, 2011” Chapter XI Education.

Children in pre-primary education establishments (as of September 2009)				
Total	At age of (year of birth)			
	2 (2007)	3-5 (2004-2006)	6 (2003)	7 and more (2002 or earlier)
994138	16269	649951	317423	10495

Children in nursery schools (as of September 2010)				
Total	At age of (year of birth)			
	2 (2008)	3-5 (2005-2007)	6 (2004)	7 and more (2003 or earlier)
816869	19583	623690	170189	3407

“Education in the school year 2010/2011” p. 167

7.1 *Out-of-pocket childcare fees paid by parents*

There is no information on average fees or on fees for nurseries. Information on fees is only available at the local level (gmina level). Fees for nursery schools consist of monthly fee (fixed on gmina level and established by local government) and payment for feeding (depends on institutions) There are no statistics on regional levels.

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Examples* of fees for rural and rural/urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	135,60 PLN
Śląskie	70,40 PLN
Łódzkie	133,50 PLN
Wielkopolskie	83,60 PLN
Lubuskie	128,00 PLN
Zachodnio-pomorskie	177,00 PLN
Pomorskie	100,00 PLN
Kujawsko-pomorskie	59,00 PLN
Warmińsko-mazurskie	150,40 PLN
Podlaskie	147,00 PLN
Lubelskie	112,00 PLN
Podkarpackie	101,00 PLN
Małopolskie	172,90 PLN
Świętokrzyskie	107,00 PLN
Mazowieckie	170,00 PLN
Opolskie	97,45 PLN

Examples* of fees for urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	248,00 PLN
Śląskie	186,34 PLN
Łódzkie	190,00 PLN
Wielkopolskie	250,00 PLN
Lubuskie	210,40 PLN
Zachodnio-pomorskie	278,00 PLN
Pomorskie	260,31 PLN
Kujawsko-pomorskie	191,40 PLN
Warmińsko-mazurskie	213,60 PLN
Podlaskie	185,00 PLN
Lubelskie	212,80 PLN
Podkarpackie	151,00 PLN
Małopolskie	211,88 PLN
Świętokrzyskie	169,00 PLN
Opolskie	206,24 PLN
Mazowieckie	238,90 PLN

- examples are not representative of all nursery schools in specific voivodship, information was taken only from one unit (one for rural or rural/urban and one for urban gmina) of each voivodships

In the OECD calculations the fees for 2005 for urban gminas in the region of Mazowieckie, that includes the capital Warsaw and take into account information obtained from 32 childcare facilities out of 17229 ones that are in Poland, approximated with 2005-2010 changes in CPI are used. Anecdotal evidence suggest that fees in 2011 are close to double what they were in 2005.

7.2 *Child-care benefits*

See chapter 6

Childcare benefits are calculated using Supplementary benefitd allowance item 2.

Child care supplement in the time of parental leave – PLN 400 – per month (for max 24 months). No additional allowance is made for Lone parents.

8. *Employment-conditional benefits*

None

9. *Lone-parent benefits*

See chapter 6

Supplementary allowance for single parents – PLN 170 – per child per month, to a maximum of PLN 340 per month. Lone parents with disabled children can receive PLN 250 per disabled child per month.

10. Tax system

10.1 Income tax rate schedule

Any individual resident in Poland or on a temporary stay longer than 183 days in a given tax year, is liable to tax on his/her worldwide income, irrespective of the source of that income.

10.1.1 Tax allowances and credits

Work related expenses: standard deductions depend on the number of workplaces and on whether dwelling place and work place are within the same town/city or not.

Annual deductible amounts (in PLN)		
	one workplace	two/more workplaces
same as dwelling place	1335,00	2002,05
different from dwelling place	1668,72	2502,56

Source: www.mf.gov.pl

Basic relief: a tax-reducing amount of PLN 556,02 is available for all taxpayers.

Relief for health insurance contributions: A tax credit is provided that almost equals health insurance contribution paid to the National Health Fund. The contribution is 9.0 per cent of the basis, tax relief is 7.75 per cent of the basis.

Relief for children

On the basis of the amendment of the Act on Personal Income Tax, which has been in force since 1st January 2013, the new model of relief for children is applied.

A taxpayer can deduct from the due tax, decreased by the amount of health contributions specified in the PIT Act, the amount, which is equal for each month of raising a child:

- 92.67 PLN (annually 1 112.04 PLN) for the first child, if the income received by parents (married or single parent, who meets special requirements) doesn't exceed in the tax year the amount of 112000 PLN. For other parent the threshold of income is 56000 PLN,
- 92.67 PLN (annually 1 112.04 PLN) for the second child,
- 139.01 PLN (annually 1 668.12 PLN) for the third child,
- 185.34 PLN (annually 2 224.08 PLN) for the fourth and every next child.

In 2007, the new tax deduction was introduced for parents. Parents can deduct from their tax at most 1112,04 PLN in 2012) per each child. This applies to the income for 2012. This tax relief (tax deduction) is offered for parents paying income tax (farmers and some groups of small business owners are excluded). In the case of low income group e.g. unemployed persons (mother and/or father) receiving unemployed benefits are able to profit from the tax relief.

- 1) For unemployed parents the maximum yearly amount of the child relief is 307 PLN (apart of number of children in the family). The reason of the low rate is that the child relief in a Polish tax

system is a deduction of the tax amount. The unemployed person with yearly income 7946 PLN has a low level of tax what makes very limited child relief at the same time.

- 2) For working parents with 'lower' wages e.g. receiving minimum wage the amount of child relief is limited. In the table 1. for one working parent the maximum child relief equals 471,19 PLN (apart of number of children in the family). The amount of child relief depends on the tax amount and in the case of yearly gross income 13512 PLN the yearly tax amount (after all other deductions) equals 471,19 PLN. Therefore there is no space for higher tax deduction also in the case of family with two or more children. The family can not gain of the maximum child relief because of the low income and simultaneously affects low tax amount and strictly limit the amount of child relief.

Table 1. Minimum wages and child relief in 2010

type of household	number of children	yearly minimum gross wages in PLN	yearly maximum amount of tax (child) relief in PLN
lone parent married couple	1 2 3 4	15.804	557,92
married couple (working spouse) <i>both earnings on the level of minimum wage</i>	1 2 3 4	2*15.804 31.608	1115,85

The table 2. shows the link between gross earnings of parents and the amount of child relief (data 2008). E.g. lone parent with two children can reach the maximum amount of child relief only in the case of yearly earnings equal or higher than 40.440PLN.

Table 2. Relation between the gross earnings and tax (child) relief

type of household	number of children	yearly gross earnings in PLN (equal or higher than)	yearly maximum amount of tax (child) relief in PLN
lone parent*	1 2 3 4	27.870 40.440 53.000 65.590	1112,04 2224,08 3336,12 4448,16
married couple <i>joint tax settlement</i>	1 2 3 4	27.870 40.440 53.000 65.590	1112,04 2224,08 3336,12 4448,16
married couple (working spouse) <i>joint tax settlement</i>	1 2 3 4	30.581,00 43.174,00 55.735 68.300	1112,04 2224,08 3336,12 4448,16

*joint tax settlement - parent together with a dependent child (children)

10.1.2 The definition of taxable income

Gross income minus social security (in case of workers) and the above tax allowances. Gross income is the sum of gross earned income and all benefits, whether cash or in kind (with the exception of family benefits, childcare benefits and social assistance benefits).

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.1.3 The tax schedule

Tax rate in 2012

Tax base in PLN		Tax amount
Over	Below	
-	85.528	18% of the tax base, less a basic tax credit of PLN 556,02
85 528		PLN 14.839,02 + 32% of surplus over PLN 85 528

Source: www.mf.gov.pl

10.2 Treatment of family income

The tax unit is the individual. Couples have the option to file a joint tax return. Couples have the right to two tax credits. The same case applies to single parents, when children have no own income.

10.3 Social security contribution schedule

Since 1st January 1999 social insurance contributions are paid by employer and employee.

Social insurance contributions **paid by the employee**, which existed in 2010, are still in force. They are listed in the table below. The contribution rate for disability and survivor insurance until June 2007 was 6.50 per cent of wage before taxation.

Scheme	In per cent of wages before taxation
Retirement	9.76
Disability and survivor	1.50
Sickness	2.45
Health	9.00

Furthermore, health insurance contribution is paid by employees as well. Rate of contribution is 9.0 per cent of wage after deducting social insurance contributions. A portion of health insurance contributions (7.75 per cent of wage after deducting social insurance contribution) are tax deductible.

In the case of pension and disability insurance, contributions are not paid on the part of the wage that exceeds PLN 111 390.

In respect of income paid under an employment contract with a Polish entity, **employers have an obligation to pay social security contributions** equal to 19.94 per cent of gross wage on average. This value consists of:

Scheme	In per cent of wages before taxation
Retirement	9.76
Disability and survivor	6.50
Accident	0.67 – 3.86 (1,13 in 2012 on average)
Labour Fund	2.45
Guaranteed Employee Benefit Fund	0.10

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Disability contribution of employer fluctuated from 4,5 per cent in years 2008-2012 to 6.50 per cent from February 2012 (this rate was also in force before 2007).

Accident contribution of employer varies depending on form of activities, risk category and a number of persons notified to work accident insurance. On average (weighted by the number of insured employees) it accounted in 2011 for 1.13 per cent of wages before taxation.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. *Part-time work*

There are no special rules for part-time workers.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2012 – 1st July 2013

In relation to the entry into force of the Act of 11 May 2012 amending the law on pensions from the Social Insurance Fund and certain other acts (Journal of Laws of 2012, pos. 637) elevating the retirement age, performed the appropriate changes on the possibility of registering as unemployed adapted to the new retirement age.

The changes introduced to the act on amendment of the Act of 20 April 2004 on employment promotion and labour market institutions (**Dz. U. z 2013 r. poz. 674, 675, 829**) in **2013 r.**

- Pursuant to the art. 73 paragraph 3 of the Act of 20 April 2004 on employment promotion and labour market institutions (Dz. U. z 2013 r. poz. 674, 675, 829) the period of receiving unemployment benefit will be extended by the period when the person is entitled to maternity allowance during maternity leave, additional maternity leave and parental leave, pursuant to separate regulations.
- Pursuant to the art. 33 paragraph 3 of the Act of 20 April 2004 on employment promotion and labour market institutions (Dz. U. z 2013 r. poz. 674, 675, 829), the starost could not revoke the unemployed status in case of pregnant women and during 30 days after birth because of incapacity to work associated with pregnancy and childbirth for a continuous period of 90 days referred to in paragraph 4 point 9, except in the case of application for revoking of that status by the unemployed herself. On the 17th of June, 2013, the Article 33 of the Act of 20 April 2004 on employment promotion and labour market institutions (Dz. U. z 2013 r. poz. 674, 675, 829) was changed by the article 15 paragraph 1, letter a) of the Act on amendment of the act – Labour Code –and some other acts (Dz. U. z 2013 r. poz. 675). According to a new legal provision contained in the Article 33, paragraph 4 g of the above Act, the starost must not deprive a woman after giving birth because of incapacity to work associated with care for this child for the period during which she would have been entitled, pursuant to separate regulations, to maternity allowance during maternity leave, additional maternity leave and parental leave, except in the case of application for revoking of that status by the unemployed herself.

By force of the article 15 point 1 letter b) of the Act of 28th of May, 2013 amending the Act Labour Code and some other Acts Article 33 paragraph 4 g was added on the 17th of June, 2013.

There have been the following changes in income tax concerning tax allowances and relieves since 2012:

- deduction of the expenses on the Internet has been limited; now the tax relief will refer to the taxpayers who did not benefit from this tax relief in the previous years; moreover the deduction will apply to the expenses incurred through 2 years following one another;
- changes in the child relief have been introduced:
 - the child relief for families with three and more children have been increased (for the third child monthly amount of deduction will be 139.01 PLN/1 668.12 PLN annually/, for the fourth and every next child the monthly amount of deduction will be 185.34 PLN/annually – 2 224.08 PLN);
 - the tax relief for families with one child presently depends on joint spouse's income.

For taxpayers who have two or more children the child relief will apply regardless of the income received during the tax year.

12.2 *Future policy changes announced since 1st July 2013*

Starting from September 1st 2014 schooling for six-year olds will become compulsory.

The changes planned with regard of the act on amendment of the Act of 20 April 2004 on employment promotion and labour market institutions to be in force beginning January 2014, consist mainly in:

- 1) Different description of the period entitling for receiving unemployment benefit: from the number of months to the number of days – previous 6 months will be replaced by 180 days and previous 12 months – by 365 days.
- 2) Renouncing the hitherto necessary premise of the lapse of 7 days from the day of registration in labour office so that an unemployed person could receive unemployment benefit and – instead – introducing the principle that the entitlement to receiving unemployment benefit starts as of the day of registration in labour office.
- 3) Providing that the period of running the nonagricultural activity by women aged over 55 and men aged over 60, for which these persons are released from payment contributions for Labour Fund, is included into the period entitling for acquiring the right for unemployment benefit.
- 4) Including new periods among those entitling for unemployment benefit:
 - the period of rendering services on the basis of activation agreement, referred to in the act on care over children at the age up to 3 years old, of the 4th of February 2011
 - the period of receiving family pension in the situation when the person entitled to disability pension and, at the same time, fulfilling the conditions entitling for family pension – makes a choice for family pension (eg. because family pension is higher than the disability pension)

Introduction of a longer (12 months) period of receiving unemployment benefit for single persons bringing-up children, in order to assure their equal treatment in relation to persons who bring up children in families.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the *OECD Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.